

FORM GST DRC-07: SUMMARY OF THE ORDER

Order passed under Section 74(9) of CGST / SGST Act, 2017 | NGTP Retrospective Cancellation Ground

ORDER REFERENCE NO: ZA2703240098412	DATE OF ORDER: 18-03-2024
NAME OF TAXPAYER: APEX PRECISION ENGINEERING PVT. LTD.	GSTIN: 27AAACA9876C1Z3
FINANCIAL YEAR: 2018-19	ISSUING AUTHORITY: Assistant Commissioner of State Tax, LTU-1, Pune

FINDINGS OF THE PROPER OFFICER (CHALLENGED AS ILLEGAL IN APPEAL):

- During scrutiny of returns for FY 2018-19, it is observed that the taxpayer claimed ITC of INR 38,40,000/- on purchases from M/s Delta Metal Alloys Ltd (GSTIN: 27AABCD5544E1Z2).
- Vide order dated 15-06-2023, the registration of M/s Delta Metal Alloys Ltd has been **cancelled retrospectively with effect from 01-07-2017** under Section 29(2) of the CGST Act, on the ground that the said entity was flagged as a Non-Genuine Taxpayer (NGTP) by the Directorate General of GST Intelligence (DGGI), Mumbai Zonal Unit.
- Since the supplier's registration stands cancelled ab initio from 01-07-2017, all invoices issued by the said entity after that date are deemed void and no valid tax invoice as per Section 31 can be said to have existed. Accordingly, the condition under Section 16(2)(a) requiring possession of a tax invoice issued by a registered person is not fulfilled.
- Although the taxpayer has produced bank payment records showing RTGS payment of INR 2,51,73,333/- via UTR HDFCR52018102400918234, the tax element collected by the supplier was never deposited into the government treasury. Under Section 16(2)(c), tax must be actually paid to the Government, and since the supplier was a non-genuine entity, no credit is admissible.
- (Fatal lower authority finding) This office has **not initiated any recovery proceedings against the supplier** M/s Delta Metal Alloys Ltd under Section 73/74, as the entity's registration has been cancelled and the proprietor is non-traceable.
- Accordingly, extended period of limitation under Section 74(1) is invoked and demand is confirmed against the purchasing recipient.

Head	Tax Disallowed (INR)	Interest Sec 50 (INR)	Penalty Sec 74 (INR)	Total Confirmed Demand
Central Tax (CGST)	19,20,000.00	18,43,200.00	19,20,000.00	56,83,200.00
State Tax (SGST)	19,20,000.00	18,43,200.00	19,20,000.00	56,83,200.00
TOTAL	38,40,000.00	36,86,400.00	38,40,000.00	INR 1,13,66,400.00